

Allevel economics

Chp:- Demand and Supply

Topic:- Price Elasticity of demand

alpha

Zarak

Mushtaq



Price Elasticity of demand (PED)

★

Formula:- $\frac{\text{Dependent}}{\text{Independent}}$

Δ :- change

measures
responsiveness

Price and Quantity demand
Negative Relationship
Downward

★

PED : $\frac{\% \Delta \text{ in Quantity demand}}{\% \Delta \text{ in price}}$

Zaidā zor
se ↑

same
force se ↑

Rajmikanth ↑

(>1, <1, =1, 0, ∞)

Kum zor
se ↓

Ramadan ↓

Note:- Price elasticity of demand measures the responsiveness to the percentage change in quantity demand to the percentage change in price.

PED:- $\frac{\text{percentage change in quantity demand}}{\text{percentage change in price}}$

$$PED > 1$$

- Greater than 1
- High responsiveness

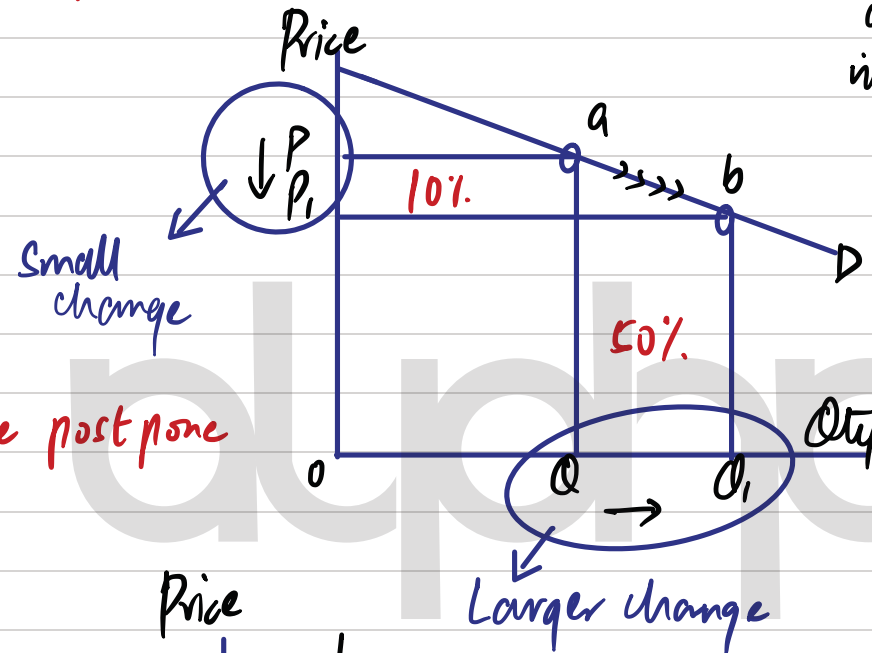
Note:- Elastic demand, a small change in price brings a larger percentage change in quantity demanded.

For e.g. a fall in price by 10% will extend the quantity demanded by more than 10%, by 50%.

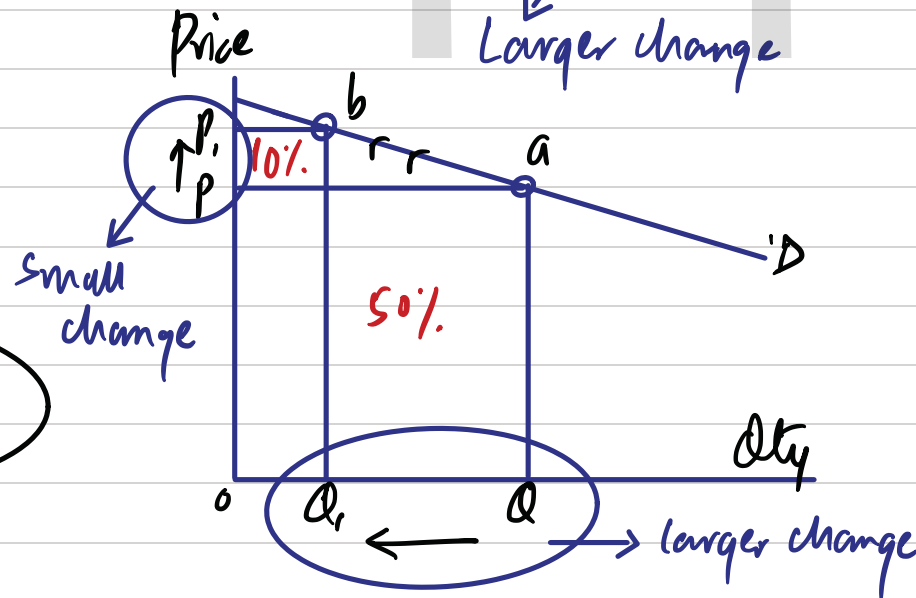
$$PED:- \frac{50\%}{10\%} = 5 (>1)$$

↓
Elastic demand

- More substitutes
- more options
- Brands
- Competition
- luxury
- want
- consumption can be postponed



Prices ↓ QD ↑
Prices ↑ QD ↓



Elastic demand

$$PED < 1$$

- Less than 1
- low responsiveness

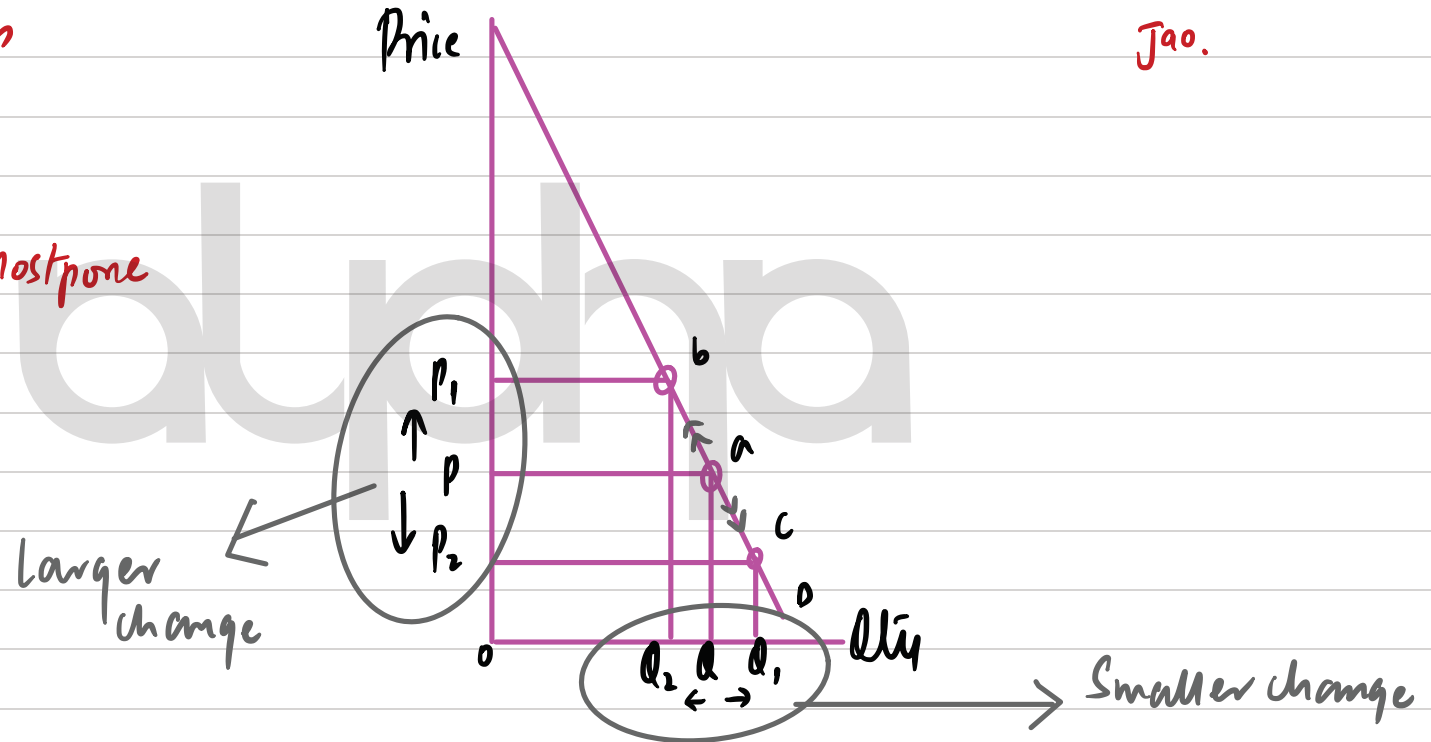
★ Difference between no substitutes and no close substitutes

mere ilawa koi nahi
mujh jaisa koi nahi

Sab mau jaye
aur mein bach
Jao.

- Less substitutes
- no close substitutes
- less competition
- necessity
- habitual
- Consumption can't be postpone
- Brand loyal
- Addictive

Price ↑ QD ↓
Price ↓ QD ↑

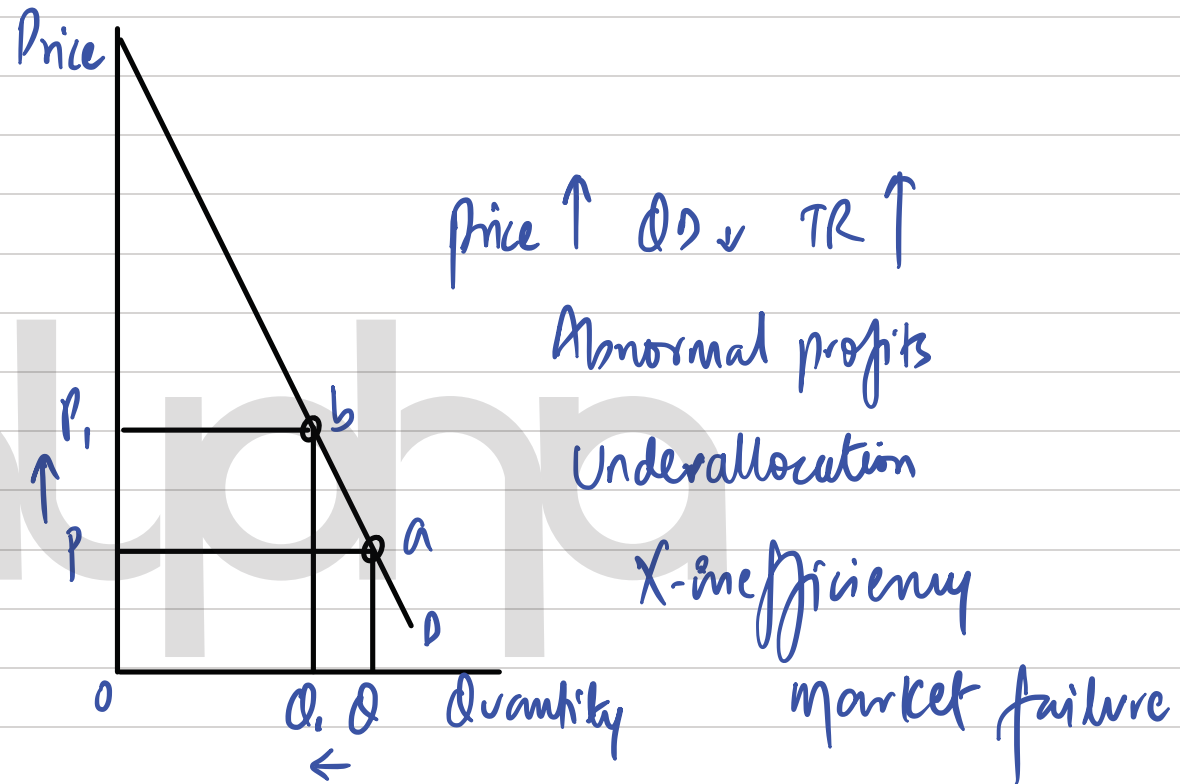


Inelastic
demand

Note:- A larger change in price brings a smaller percentage change in quantity demanded. For e.g. a rise in price by 50% contracts quantity by less than 50%, by 10%.

Knowledge of Monopoly → A firm with highest market share

- Operates on larger scale
- No close substitutes
- Brand
- Highest market share
- Controls supply
- Creates shortage
- raises price
- earns Abnormal profits
- Inelastic demand



Determinants / factors / influences of PED :-

- * **The availability of substitutes of a similar quality and price :-** If a product has close substitutes, the price elasticity of demand will be relatively elastic. In this case, a rise in price will be likely to cause significant fall in quantity demanded as consumers will switch to the substitute. However, if there are no close substitute available, demand will be inelastic. The quantity demanded will not fall much in response to rise in price because there is no suitable alternative to switch over to.
- * People also find it difficult to cut back on their purchases of products which are addictive, such as cigarettes and coffee. This means such products have inelastic demand. If the purchase of a product can be delayed, demand tends to be elastic. A rise in price will result in a greater percentage fall in quantity demanded as people will postpone the purchase of the product, hoping that its price will drop in the future. If it does, the quantity demanded will rise by a greater percentage, with the build-up sales.
- * Generally the longer the time period being considered, the more elastic the demand for a particular product is likely to be. There are number of reasons for this. Firstly, it may take time for individuals to become aware of price changes, particularly for products they may buy infrequently such as cookers or refrigerators. In addition, it may take time to research and discover suitable substitutes.

- * Proportion of income spent on the product
- * Whether the product is a necessity or a luxury
- * Whether the product is addictive or not
- * Whether its purchase can be postponed
- * The width of the definition of the market

alpha

Questions (H.W #4)

Marks:- 12

Q1 Define PED? 2 Define + formula

Q2 Define Elastic demand? 2 → Define + Numerical example

Q3 Define Inelastic demand? 2 →

Q4 Explain how a product can be elastic to one individual but inelastic to other? (8)
→ 2 diagrams (Elastic and inelastic)

* 3 factors to be explained!